STRATIVA CONSULTING

FINANCIAL CONTROL & EXPENSE MANUAL

Smart Strategies. Sustainable Growth.

Finance and Expense Management SOP

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Approved By:	Managing Director / Founder
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CONFIDENTIAL & PROPRIETARY — STRATIVA CONSULTING HEADQUARTERS

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1. COMPANY INFORMATION & DOCUMENT OVERVIEW

Strativa Consulting is a business consulting, startup development, branding, and digital marketing firm headquartered in Karachi, Pakistan. This Finance and Expense Management Standard Operating Procedure (Document Reference: **STR-FIN-SOP-009**) establishes transparent financial controls, spending approvals, accurate recordkeeping, responsible payment procedures, fraud prevention, and monthly financial reviews suitable for a small consulting startup.

2. PURPOSE AND OBJECTIVES

The purpose of this SOP is to establish rigorous financial controls that enable Strativa Consulting to:

- Prepare and control annual and project budgets effectively.
- Ensure all business expenses are necessary, reasonable, and properly authorized.
- Prevent unauthorized spending, financial leakage, and occupational fraud.
- Maintain accurate invoices, receipts, and traceable financial records.
- Pay vendors and suppliers accurately and on time.
- Protect sensitive financial information, banking credentials, and system access.
- Review cash flow, operating expenses, and financial performance monthly.
- Maintain absolute accountability and transparency in all financial decisions.

3. SCOPE AND APPLICABILITY

This SOP applies universally to the Managing Director, authorized finance representatives, project managers, employees requesting purchases, consultants managing project budgets, and any personnel authorized to approve or process payments. As a growing consulting startup, financial duties may initially be managed by designated management personnel rather than a separate finance department.

4. FINANCIAL ROLES AND RESPONSIBILITIES

Clear segregation of financial duties ensures accountability and internal control across all transactions:

- **Managing Director / Founder:** Overall financial oversight, annual budget approval, high-value spending authorization, and review of monthly financial reports.
- **Finance / Accounts Representative:** Recording transactions, preparing payment vouchers, maintaining general ledgers, and performing bank reconciliations.
- **Project Manager:** Monitoring project-specific budgets, verifying project expense necessity, and confirming deliverable completion.
- **Purchasing Employee:** Submitting formal purchase requests with justified business purposes and supporting documentation.
- **Authorized Payment Processor:** Verifying dual-authorization approvals before executing bank transfers or releasing funds.
- **Independent Reviewer:** Checking reconciliations and selected financial transactions to ensure compliance.

4.1 Transaction Responsibility Matrix

Transaction Stage	Responsible Role	Supporting / Verifying Role
Expense Request	Purchasing Employee / Consultant	Project Manager
Budget Check	Finance Representative	Project Manager
Approval	Authorized Approver (per Matrix)	Managing Director (High Value)
Payment Processing	Authorized Payment Processor	Finance Representative
Recording & Ledger Entry	Finance Representative	Independent Reviewer
Monthly Reconciliation	Finance Representative	Managing Director

Compensating Controls: Where startup staffing is lean and full segregation of duties is not feasible, compensating controls require the Managing Director to perform documented secondary reviews and approvals on all reconciliations and disbursements.

5. BUDGET PREPARATION AND APPROVAL

Budgets are prepared annually and monitored monthly. Any material variance exceeding established thresholds requires formal management review and corrective action.

- **Budget Variance Formula:** $ ext{Variance} = ext{Actual Expense} - ext{Budgeted Expense}$
- **Variance Percentage Formula:** $ ext{Variance } \% = rac{ ext{Actual Expense} - ext{Budgeted Expense}}{ ext{Budgeted Expense}} imes 100$

5.1 Illustrative Annual Budget Table (Hypothetical Planning Figures in PKR)

Expense Category	Budgeted (PKR)	Actual (PKR)	Variance (PKR)	Variance %	Explanation / Status
Office Rent & Utilities	1,200,000	1,200,000	0	0.0%	Aligned with lease agreement.
Salaries & Benefits	4,500,000	4,500,000	0	0.0%	Standard payroll allocation.
Software & IT Subscriptions	400,000	450,000	+50,000	+12.5%	Additional cloud storage licenses.
Marketing & Advertising	600,000	520,000	-80,000	-13.3%	Optimized digital ad spend.
Travel & Transportation	250,000	280,000	+30,000	+12.0%	Client site visits in Karachi.
Professional & Legal Services	350,000	350,000	0	0.0%	Retainer fees.
Total Operating Expenses	**7,300,000**	**7,400,000**	**+100,000**	**+1.37%**	**Within acceptable tolerance.**

Note: The PKR amounts above are hypothetical planning assumptions for startup financial modeling, not actual company financials.

6. EXPENSE CATEGORIES AND EXPENSE ELIGIBILITY

Eligible business expenses must have a verified commercial purpose, be reasonable in amount, be supported by original tax invoices or receipts, and adhere to approved budgeting limits. Personal expenses are strictly prohibited from being charged to Strativa Consulting.

7. EXPENSE APPROVAL PROCESS & APPROVAL MATRIX

All purchases must follow a strict authorization workflow. Splitting transactions to bypass approval limits is a severe policy violation.

7.1 Illustrative Expense Approval Thresholds (Proposed Internal Controls)

Expense Value Threshold (PKR)	Required Approval Level	Required Documentation
Low-Value (Up to PKR 25,000)	Project Manager / Department Head	Purchase request, receipt, and business justification.
Medium-Value (PKR 25,001 to 250,000)	Managing Director / Founder	Purchase request, 2 quotations, and budget verification.
High-Value (Above PKR 250,000)	Managing Director + Board / Financial Advisor	Formal procurement proposal, competitive bids, and contract.

8. PURCHASE REQUESTS AND PROCUREMENT

Employees initiating purchases must complete a formal Purchase Request Form detailing item specifications, business justification, estimated costs, and vendor details. Competitive quotations must be obtained for purchases exceeding PKR 50,000 where practical. Urgent purchases require retroactive management approval within 24 hours.

9. PETTY CASH MANAGEMENT

Petty cash is maintained for minor, immediate operational expenses under strict supervision:

- **Custodian:** Appointed by the Managing Director.
- **Cash Float:** Illustrative limit of PKR 25,000.
- **Formula:** $ ext{Closing Petty Cash} = ext{Opening Cash} + ext{Replenishments} - ext{Approved Payments}$
- **Verification:** Physical cash counts must reconcile with the petty cash register and supported vouchers monthly.

9.1 Petty Cash Register Template

Date	Voucher #	Description / Purpose	Amount Paid (PKR)	Recipient	Approved By	Balance (PKR)
10 Jan 2027	PC-001	Office stationery supplies	3,500	Al-Madina Store	Project Manager	21,500

10. EMPLOYEE EXPENSE CLAIMS AND REIMBURSEMENTS

Employees incurring authorized out-of-pocket expenses must submit an Employee Reimbursement Claim Form within 15 days of the expense date, accompanied by original tax receipts and managerial approval. Unsupported, personal, or duplicate claims will be rejected.

11. VENDOR MANAGEMENT AND VENDOR PAYMENTS

Vendors are vetted to ensure legitimacy, tax compliance, and conflict-of-interest avoidance. Payments are processed only after three-way matching (Purchase Request, Approved Invoice, and Goods/Services Delivery Confirmation). Material changes to vendor bank details require independent telephone verification.

11.1 Vendor Payment Checklist

Verification Step	Responsible Role	Status
Confirm vendor identity and active bank account details	Finance Representative	[ ] Verified
Verify three-way match (PO, Invoice, Delivery Proof)	Project Manager	[ ] Confirmed
Check for duplicate invoice submission	Finance Representative	[ ] Checked
Obtain dual authorization for payment release	Managing Director	[ ] Approved

12. INVOICES AND CLIENT BILLING

Client billing must reflect actual agreed services, approved professional fees, and genuine contract milestones. Invoices must include a unique invoice number, issue date, due date, billing details, service description, payment instructions, and applicable taxes.

13. FINANCIAL RECORDKEEPING AND DOCUMENT CONTROL

All financial documents (sales invoices, vendor bills, receipts, bank statements, payroll records, contracts, reconciliations) must be retained in secure digital and physical archives for a minimum of 5 years (or as required by applicable law). Altering or deleting financial records is strictly prohibited.

14. FINANCIAL ACCESS PERMISSIONS AND SECURITY

Access to accounting software, banking portals, and financial databases is strictly role-based and protected by strong passwords and multi-factor authentication. Credential sharing is prohibited, and access is revoked immediately upon staff departure.

15. FRAUD PREVENTION AND FINANCIAL MISCONDUCT

Strativa Consulting maintains zero tolerance for financial fraud, false claims, kickbacks, or altered receipts. Suspected misconduct must be reported immediately to the Managing Director for confidential investigation. Whistleblowers raising genuine concerns are fully protected against retaliation.

16. CONFLICT OF INTEREST AND ETHICAL FINANCIAL CONDUCT

Employees and managers must disclose any personal, familial, or financial relationships with vendors, suppliers, or clients. Individuals facing conflicts must recuse themselves from purchasing decisions or expense approvals involving related entities.

17. MONTHLY FINANCIAL REVIEW AND RECONCILIATION

A structured monthly financial close must be completed by the 10th business day of the following month, encompassing bank reconciliations, petty cash counts, accounts receivable/payable reviews, and budget-versus-actual variance analysis.

18. MONTHLY FINANCIAL REPORTING

The monthly financial report submitted to management includes opening/closing cash balances, income received, operating expenses, vendor payments, outstanding receivables, budget variance summaries, and cash flow forecasts.

18.1 Illustrative Monthly Financial Report Summary (Hypothetical Figures)

Financial Metric	Amount (PKR)	Notes / Status
Opening Cash & Bank Balance	2,500,000	Verified via bank statement.
Client Fee Inflows	1,200,000	Consulting milestone settlements.
Operating Expenses Paid	(650,000)	Salaries, rent, software, utilities.
Closing Cash & Bank Balance	**3,050,000**	**Reconciled successfully.**
Outstanding Client Receivables	450,000	Due within 30 days.
Outstanding Vendor Payables	120,000	Scheduled for next payment cycle.

19. FINANCIAL REPORTING TEMPLATES

Standardized templates for budget tracking, expense claims, purchase requests, and bank reconciliations are maintained in the corporate finance repository.

20. FINANCIAL ERRORS, DISCREPANCY, AND CORRECTIVE ACTION

Errors, missing receipts, or bank discrepancies must be investigated and corrected immediately with documented audit trails. Honest administrative mistakes are resolved through retraining, whereas deliberate misconduct results in formal disciplinary action.

21. IMPLEMENTATION, TRAINING, AND REVIEW GOVERNANCE

This SOP is communicated to all staff during onboarding and reviewed annually by management to ensure ongoing regulatory and operational relevance.

Version	Effective Date	Description of Changes	Prepared By	Approved By
1.0	1 Jan 2027	Initial Release - Final Approved Finance & Expense SOP	Management	Managing Director

22. APPENDICES: READY-TO-USE FINANCIAL FORMS & TEMPLATES

Appendix A: Purchase Request Form

STRATIVA CONSULTING — PURCHASE REQUEST FORM

Requested By: _____ **Department:** _____

Item / Service Description: _____

Business Justification: _____

Estimated Cost (PKR): _____ **Preferred Vendor:** _____

Approval Status: [ ] Approved [ ] Denied **Signature:** _____

Appendix B: Employee Expense Reimbursement Claim Form

STRATIVA CONSULTING — EXPENSE REIMBURSEMENT CLAIM

Employee Name: _____ **Date:** _____

Project / Client Ref: _____ **Total Claim (PKR):** _____

Receipts Attached: [ ] Yes **Business Purpose:** _____

Manager Approval: _____ **Finance Sign:** _____

Appendix C: Monthly Bank Reconciliation Template

MONTHLY BANK RECONCILIATION SUMMARY

Bank Statement Balance: PKR _____ **As of Date:** _____

Add: Outstanding Deposits in Transit: PKR _____

Less: Unpresented Cheques / Payments: PKR _____

Reconciled Bank Balance: PKR _____

Prepared By: _____ **Reviewed By:** _____